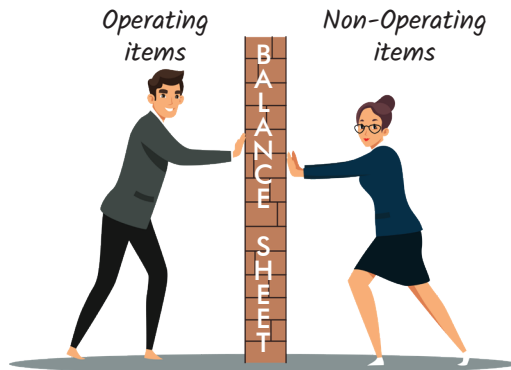


So to make things simple, we will be dividing the entire balance sheet into operating items and non-operating working items.



We will be doing the same exercise for all the non-current assets and divide them into operating assets (all the items that are operating in nature) and non-operating assets (all the items which are not so involved in the day-to-day operations of a company).

The main idea behind the exercise is to look at the operating assets or items differently because they directly affect the core business. Then we will also be looking at the financial assets differently because the company has control over these items. For example, for financial assets, the company has the power to decide how they want to invest it.